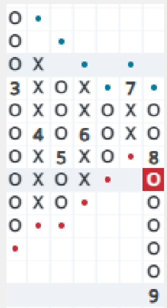
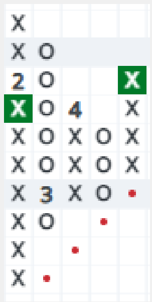
Complex Chart Patterns

In Level I, we covered basic point-and-figure price patterns. Almost all resources cover and agree on the definitions of those patterns. Here in Level II, we will show more complex patterns. Some of these have been widely shared across many texts, while others are less common. Our criteria here is usefulness. Patterns that are actionable with reasonable stops are certainly useful. Patterns that give insight into the supply and demand dynamics are certainly useful. As you know by now, there is really only one chart pattern in point-and-figure: the breakout/breakdown. What adds complexity to the pattern is the context.

Triangle Pattern



Triangle breakdown

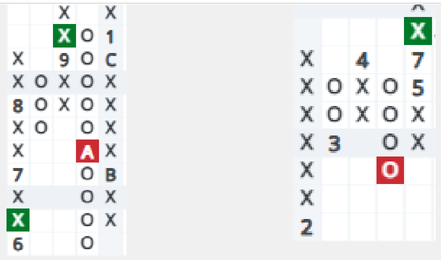


Triangle breakout

FIGURE 4.4.1 Triangle pattern

Triangle breaks can occur on the upside or downside. Some analysts require a minimum pattern of five columns, but the important feature for classification is a series of inside columns. An inside column is analogous to an inside bar on a bar chart – it is simply a column with the same number of or fewer boxes than the previous column. Some of the patterns are messier than others, but the important thing to keep in mind is the indication of supply and demand that the chart is showing. A triangle is a kind of consolidation, so when the price finally moves out of the consolidation, it is worth noticing. Triangles are generally rare. Once in a while, when the entire market is going through a tight consolidation, triangles pop up all over.

Shakeout Pattern



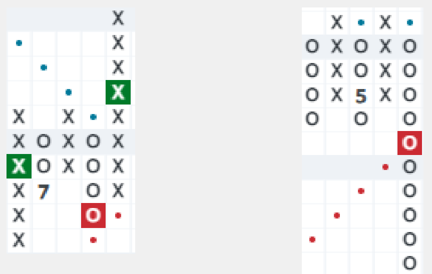
Shakeout

Shakeout

FIGURE 4.4.2 Shakeout pattern

At first glance, this looks like a double bottom breakdown. The context is what turns it into a shakeout. The overall market needs to be strong, and the stock needs to be strong and above the bullish support line. The double bottom breakdown typically is mild, usually not more than a couple of boxes. (Some patterns are messier than others.) While the first pattern shows a deeper than normal pullback, the second pattern is a classic shakeout. Some analysts argue that it must also be the first breakdown in a new uptrend. In practice, some stocks show multiple shakeout patterns during a strong uptrend. The shakeout is an actionable pattern on the 3-box reversal up after the breakdown. In other words, after the breakdown happens, wait for the price to reverse up. It is useful because there is a close, well-defined stop.

Trendline Break Pattern



Trendline breakout

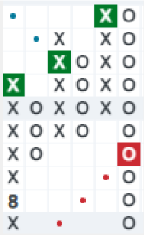
Trendline breakdown

FIGURE 4.4.3 Trendline break pattern

A trendline break can be a breakout above the bearish resistance line (as in the first example chart), or a breakdown below the bullish support line (as in the second chart). The context is provided by the trendline — there has been a significant change in the supply and demand dynamic when the trendline is violated. This is not necessarily a reversal pattern. Sometimes it leads to a consolidation before the market indicates its next move.

Signal Reversed Pattern

Bearish signal reversed



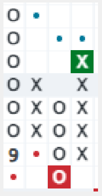
Bullish signal reversed

FIGURE 4.4.4 Signal reversed pattern

These patterns represent a sharp change in supply and demand. The pattern is simply a bullish or bearish signal (as discussed in Level I), followed by a rapid break in the opposite direction. Context is key here, too. Imagine a bullish signal reversed that occurs in a weakening uptrend — everything seems to be going smoothly, and then there is a sudden reversal. The analyst might start to look for signs of consolidation, or signs that demand is now exhausted. If the same pattern occurred in an extremely strong uptrend — and the breakdown did not carry very far — a reversal up might be treated more like a shakeout pattern.

Trap Pattern

Bull trap

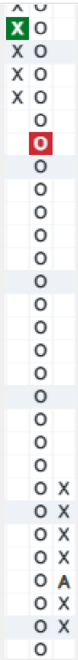


Bear trap

FIGURE 4.4.5 Trap pattern

This common pattern involves a breakout or breakdown, followed rapidly by the opposite pattern. Context is critical — in a strong uptrend, the bull trap is known as a shakeout. If the bull trap occurs during a downtrend, it might indeed live up to its name and be a trap for an overeager buyer. On the other hand, imagine a bear trap occurring in a long downtrend nearing the bearish resistance line. It could be a sign that supply really is exhausted and the analyst will need to exercise careful judgment as the chart develops further. This pattern is quite common during consolidations, especially near trendlines. It indicates that the market is unsettled and there is not yet a clear trend.

Long Tail Down Pattern



Long tail down

FIGURE 4.4.6 **Long tail down pattern**

The long tail down can be a useful signal for a speculator. The orthodox requirement is for a tail of 20 boxes or more. This pattern is the kind of thing that might crop up with a bad earnings report during an uptrend, or it could represent capitulation at the end of an extended downtrend. In any case, it is actionable only on the 3-box reversal up. The stop is obvious — below the long tail — and nearby.

Big Burst Up/Super Pattern

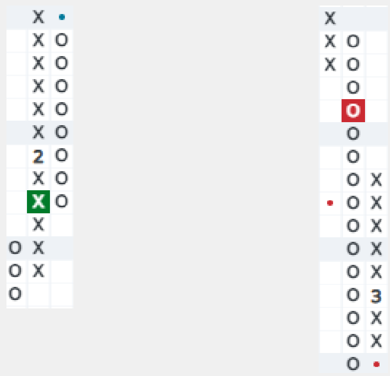
Big burst up/super pattern

FIGURE 4.4.7 **Big burst up/super pattern**

This pattern is not covered in most point-and-figure texts, but to a working analyst, it is useful and actionable and occurs pattern," and his rules are as follows. After a double top breakout, the price travels a minimum of 10 boxes after the breakout. The price has a mild correction, three to four boxes only. Prashant suggests to buy on the next breakout, with a well-defined and nearby stop.

This pattern is almost the opposite of the long tail down, but the context is important. This pattern is exclusive to stocks in strong uptrends. In fact, a restriction to stocks on a relative strength buy signal in a column of Xs can be useful. Another way to define it is that the stock must have undergone a big burst up of at least 12 boxes, followed by a shallow 3- or 4-box retracement. It can also be actionable on the 3-box reversal before the breakout.

Pole Warning Pattern



High pole warning   Low pole warning

FIGURE 4.4.8 **Pole warning pattern**

The essential idea of a high pole or low pole is that the column of Xs or Os extends significantly beyond the breakout. Some of the early texts specify three boxes beyond the breakout; most later texts specify five boxes beyond the breakout. Generally, the high pole or low pole itself is not an actionable pattern. The most common use for this pattern is as a stop. The high pole warning or low pole warning occurs when more than 50% of the column is retraced, as in the two examples above. It can provide a useful stop when there is no nearby support level.

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4.4 Point-and-Figure Patterns and Analysis

Price Projections

There are two schools of thought on price projections. Some analysts use vertical counts of boxes to make price projections, essentially extrapolating the power of the initial breakout. Other analysts use horizontal counts of columns, which base their price projections on the width of the consolidation. Each method has its place. Horizontal counts are generally considered to be more useful, but they are not helpful at all with a V-bottom. In those cases, the vertical count may be a better guide.

Vertical Counts

Upside vertical counts for price estimation can be made from any column of Xs resulting in a breakout. Once the column of Xs is completed, the price projection is as follows:

Number of Xs in the column x reversal boxes (3) x box size

While you can conceivably make a count on any breakout, most of them will not be significant. Experienced analysts tend to use the first up column after a significant bottom as an initial gauge of potential. If, during a trend, there is a significant period of congestion, a secondary count is sometimes made after a subsequent breakout or breakdown.

The count is generally added to the low point of the pattern. Here is an example of an upside vertical count.

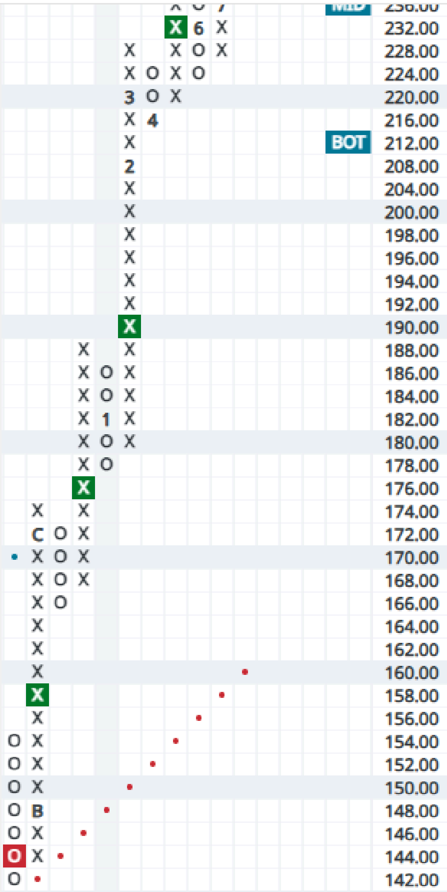


FIGURE 4.4.9 Upside vertical count example

The initial thrust from the bottom, starting with the reversal in November (B), is completed after 16 boxes to the upside. Applying the vertical count formula, we get 16 boxes x 3 (reversal boxes) x 2 (box size) = 96. Adding 96 to the 142 low, we have an upside count of 238. In this example, the count is achieved in a few months.

Downside counts are made in exactly the same way, but sometimes have a peculiar problem. Counts from a long tail down sometimes lead to price targets below zero — an unlikely occurrence in stocks! It is common for short sellers to use more conservative counts on the downside. A common practice, for example, is to substitute 2 for the reversal boxes, leading to a count that reduces the expectation by 1/3.

Horizontal Counts

Another way of estimating price potential is to make a horizontal count. In this type of count, the width of the base is measured rather than the strength of the thrust. A horizontal base to be counted can be identified by any congestion period or by a prominent top or bottom. Once there has been a breakout from the congestion area, the price projection is as follows:

> Number of columns wide x reversal boxes (3) x box size

Many congestion patterns are irregular, and you will notice when you count across the pattern that not every box is filled

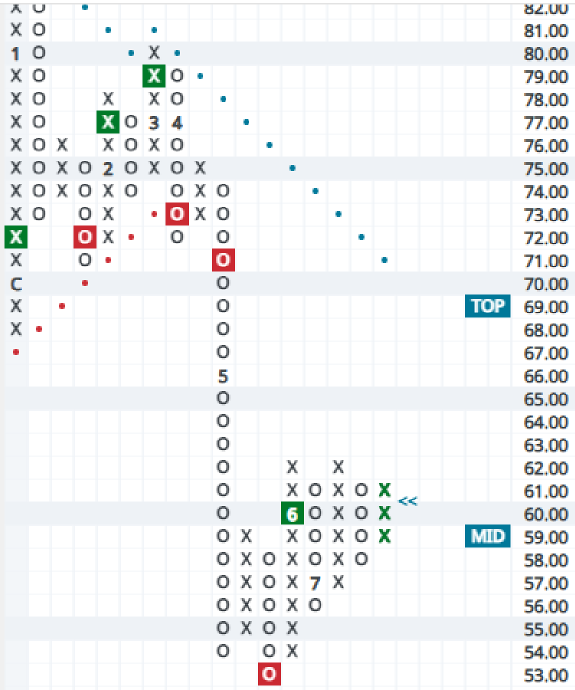
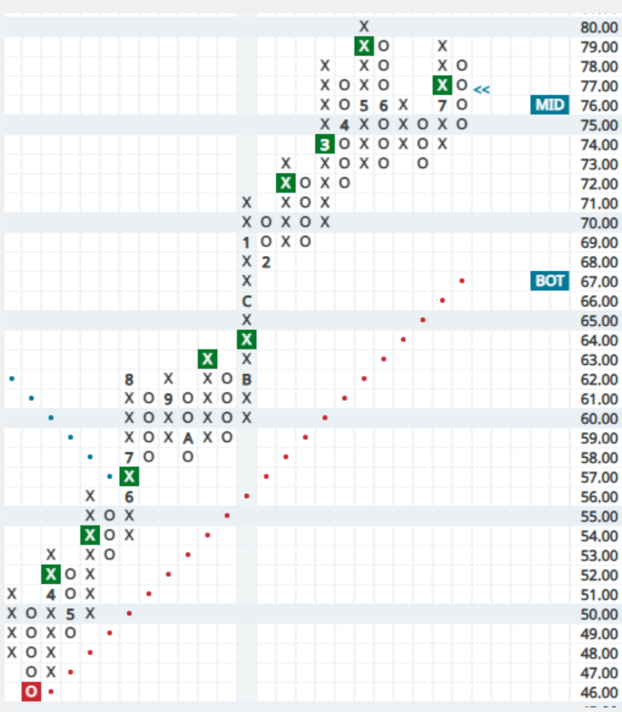


FIGURE 4.4.10 Downside horizontal count example

This is an example of a downside horizontal count. The pattern is quite messy, but the analyst could consider the entire consolidation below the bearish resistance line. At 70, the entire consolidation is cleared on the downside. The width of the pattern broken is 10 columns, although at most 9 columns have filled-in boxes (in the 75 price row). Using our formula for horizontal counts, we get 10 × 3 (reversal boxes) × 1 (box size) = 30. Subtracting 30 from the peak of the formation, we get 83 – 30 = 53. Using the alternate method of filled-in boxes, our count would be 9 × 3 × 1 = 27, for a price projection of 56. In this example, both downside counts were achieved.



be used together. In this chart, a vertical count could be made from the initial thrust from the bottom. That column has seven boxes, ending at 53. The vertical count would be 7 × 3 (reversal boxes) × 1 (box size) = 21. Added to the low of 46, it gives a price projection to 67. Notice also the consolidation around 60, resulting in a bullish catapult at 64. A horizontal count could be made across that consolidation, which is seven columns wide. The horizontal count would be 7 × 3 × 1 = 21. Added to the low of the consolidation at 58, that would project further upside to 79. In this example, those targets were achieved.

Price projections are only an indication of potential. The basic idea is to help determine if there is sufficient juice remaining in the trade to commit capital. It is a simple way to help frame risk and reward.

Price Projections

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4.4 Point-and-Figure Patterns and Analysis

Other Uses of Point-and-Figure

Point-and-figure is obviously a very flexible tool, given that you can plot a chart of any kind of instrument. There are two areas where the noise-cancelling properties of point-and-figure charts have compelling applicability: relative strength charts and diffusion index charts.

Relative Strength

Relative strength is an important component to success in the stock market, and point-and-figure charts are an excellent way to view it. The simplest version of relative strength is:

Price of stock / Price of index

Generally, the analyst has to move over a couple of decimal places to get a plottable point-and-figure chart that uses the same scale as a price chart. (Software does this easily without any manipulation.) Many analysts prefer percentage box charts for their relative strength charts, since that results in a smoother chart.

Here are three different versions of the same chart: the relative strength of Applied Materials (AMAT) versus the S&P 500 Equal Weight (RSP).

FIGURE 4.4.12 Relative strength displayed in a line chart

Source: StockCharts.com

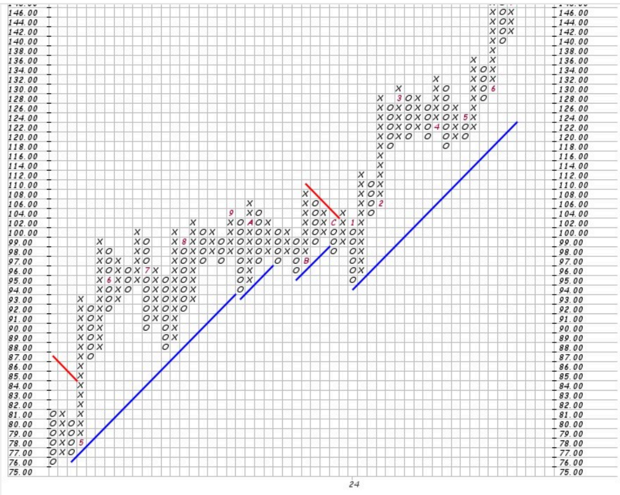

FIGURE 4.4.13 Relative strength displayed in a traditional point-and-figure chart

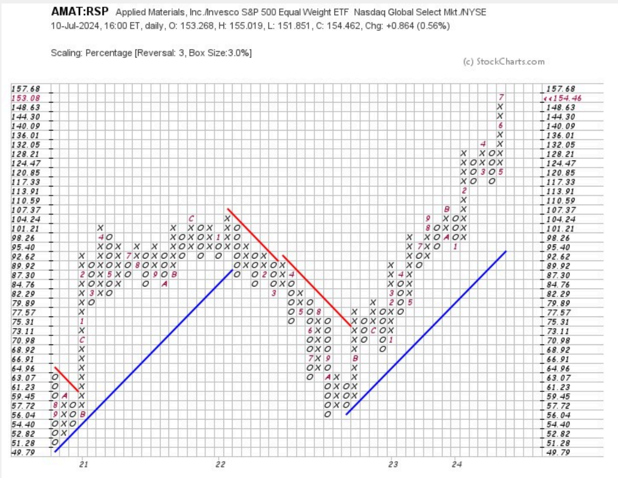

FIGURE 4.4.14 Relative strength displayed on a point-and-figure chart using percentage boxes

The line chart of relative strength is somewhat choppy and hard to interpret. The traditional point-and-figure chart is clearer, but still quite messy. The percentage box chart of relative strength is smoother still. It is relatively easy to identify trends of underperformance and outperformance, as delineated by the signals and the columns of Xs and Os.

Consider, for example, Figure 4.4.15 from research conducted by Nasdaq Dorsey Wright. This particular chart depicts the use of a relative strength chart with a 6.5% box size and a 3-box reversal. Stocks in a strong relative strength configuration — easily objectively determined, in this case on a breakout in a column of Xs — outperformed significantly and durably over a very long period of time. This is the topmost blue line.

FIGURE 4.4.15 **Research from NDW**

There is nothing magic about this particular formulation of relative strength. Relative strength works in many formulations. Point-and-figure is just a very clear way to display it.

Relative strength can be used for an infinite number of comparisons. Stocks can be compared to their sectors and the markets, sectors can be compared to the market or other sectors, asset classes, currencies, and commodities can be compared to one another, and so on. The analyst will have to find the right box size to make a useful chart, but a tremendous amount of information is available in comparison charts.

Diffusion Indexes

Diffusion indexes are a cross-sectional measurement of a given universe. For example, the percentage of stocks above their own 50-day or 200-day moving averages is a diffusion index, and a common measurement of market participation.

Since the range of this kind of diffusion index can only go from 0–100%, it is easy to plot the swings on a point-and-figure chart. Indicator charts commonly use a 2% box size, so a 6% change is required to create a 3-box reversal.

Point-and-figure analysts even have one unique measurement of market breadth known as the Bullish Percent. It is the percentage of stocks in a given universe that are currently displaying point-and-figure breakouts. Since the breakout above resistance is objectively defined, this, too, can be helpful in a gauging a market’s strength or weakness.

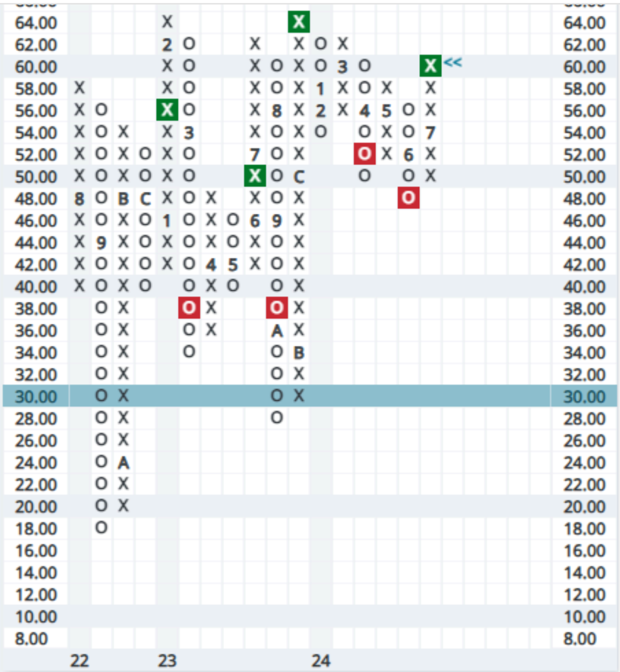

FIGURE 4.4.16 **Bullish Percent Index point-and-figure chart for all stocks on the New York Stock Exchange (NYSE Bullish Percent)**

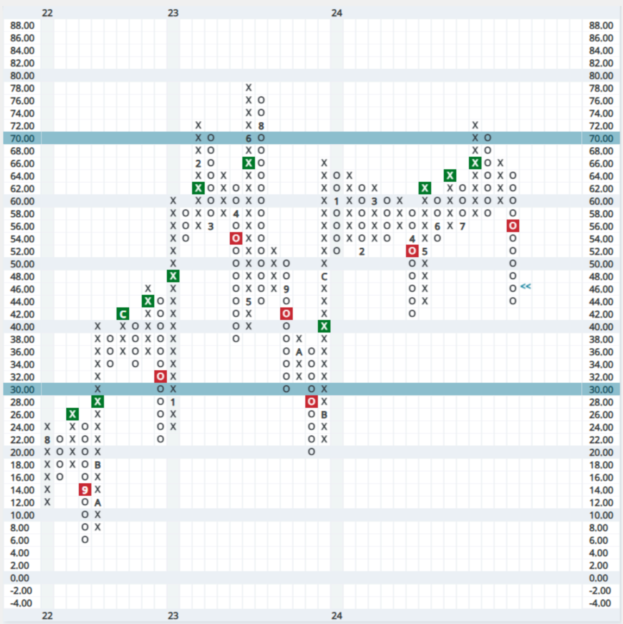

FIGURE 4.4.17 **Percentage of semiconductor stocks above their 40-week (200-day) moving average**

A glance at a few diffusion indexes can give helpful insight into the market's trend. Point-and-figure charts, because of their noise reduction features, make this type of chart easy to read.

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Other Uses of Point-and-Figure

Summary

For the purposes of Level II, the CMT candidate should be able to recognize complex point-and-figure price patterns and understand their message in the context of the chart. The candidate should be able to perform vertical and horizontal counts to create price projections. Finally, the candidate should be familiar with some other common uses of point-and-figure charting, particularly relative strength charts and diffusion index charts.

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